

MTS-2 [LAW]

Question No 1
Answer No 1

(a.)

As per Section 2 of The Companies Act 2013,
The charge is the interest or lien created on Asset or property as security (For repayment of Loan & interest there on) It includes Mortgage also

As per Section 77 of the Companies Act 2013,
The register Holder (charge holder) and Borrowing Company shall prepare proper instrument to register the charge within 30 days of creating a charge in India or outside India.

The charge created in India shall be registered by Signing of Company Secretary of the Company or by Board of directors and a person authorized by charge Holder.

The Consequences of Non Registration of charge are

- The charge holder loses priority against the charge
- The cannot be taken into by liquidator or other Creditors
- There is no obligation against the charge by the Borrowing company.

DATE

If charge is not registered in 30 days Registrar may grant another 30 days by additional fees. The Registrar may also grant further extension of 60 days by ad Valorem

Conclusion

- (1.) The Trigger point for the registration of charge shall arise at the time of credit limit sanctioned by the Banks
- 11.) Consequences of non registration of charge are:-
 - charge loses Priority
 - There will be No obligation of borrower regarding charge
 - It shall not be taken into account by liquidator or other creditors

(b.)

As per Relevant provision of the Companies Act 2013, The Company shall maintain Register of Members and entries must be passed in it within 7 days of happening.

The Company can also keep his ~~foreign~~ register of member outside India whom they have list of members residing outside India. The entries regarding opening, changing or closing of Foreign register shall be file To Registrar with 15 days.

The Foreign Register can be closed and upon closing of Register passed the entries in principal Register or in another foreign Register.

Conclusion

The entries of opening of foreign Register must be file To Registrar of Companies within 15 days of occurring.

(C.)

Section 123.

As per ~~Relevant~~ provision of the Companies Act 2013, The interim dividend is declared by Board of directors and paid by Company, The Interim dividend can be paid through

- Profits of Current year to which year it is paid
or
- Profits from quarterly preceeding financial year
or
- From Profit & Loss A/c.

If Company has incurred heavy losses then maximum interim dividend can be paid is average of 3 year of percentage of dividend declared.

Conclusion

In the above Case @ Zeta Polymers (P) Ltd. has paid & declared interim dividend based on profit earned in 1st Two Quarters, The Company has no Surplus in its Profit and Loss A/c. The Company while declaring interim dividend doesn't need to carry forward losses and provide depreciation

So there is no Contravention of the provision

Question No. 2Answer No. 2

(a.)

As per Section 129 of the Companies Act 2013,
The Company needs to prepare and kept its
Financial statements at its Registered office.

If Company has more than 1 subsidiaries then
it needs to ~~here~~ prepare Consolidated Financial
statement and also attach a statement containing
Salient features of -
- Subsidiary
- Associate or
- Joint venture

in Form AOC-5.

Following Companies are not required to make
Consolidated Financial statements

- The Subsidiary Company of Holding Company
(whether wholly owned or partly) take written
consent of Members that they ^{do not} object
Company for making Consolidated Financial statement
or
- Consolidated Financial statement is filed by its
Holding company
or
- The Company is not listed or in process of listing
Spiral.

Conclusion

In the above case:

- (i) Madan Pvt Ltd is a owned subsidiary of Par Ltd and is not listed or in process of listing and its Holding Company makes Consolidated financial statement so, Madan Pvt Ltd doesn't need to prepare consolidated financial statements.
- (ii) If Madan Pvt Ltd was a listed company in recognised stock exchange, then still answer remains same as company CSR is filed by its Holding Company.

(b)

As per Section 79 of The Companies Act 2013,

The charge must be registered within 30 days by creating proper instrument of charge and Registered by Borrowing company and by charge Holder.

The charge can be created in and Registered on:

- India or outside India
- any property or Assets In India or outside India
- can be created on Tangible, Intangible or on any Financial Instrument.

The charge created outside India can be Registered by having:-

- Company Seal
- Any person who doesn't have any interest in charge
- by Director ^{or} ~~and~~ company Secretary and person authorized by charge Holder.

~~If the company doesn't register charge within~~

Conclusion

In the above case, Vital pharmacy has not registered the charge on Patents which is ~~an~~ as it is created outside India, The company claim is absolutely incorrect it shall be Registered in India it doesn't mean whether it's created in India or outside India and charge ~~can~~ can be created on Intangible Assets Also.

Question No 3Answer No 3

(a.)

As per Section 100 of the Companies Act 2013,
The Extraordinary General Meeting (EGM) can be
 called by Board when it deems fit or
 by requisition having 10% of Paid up share Capital
 in case of Company having share Capital
 and in case of Company don't have Share Capital
 then requisition must have at least 10% of Total
Voting power. The requisition made must be
signed by them and must contain matter for
meeting to be held. The Board must then
 call the meeting by giving 2 clear notice to
members and meeting must be held within
45 days of Valid notice Receipt. If Board
 cannot hold or call the meeting within 45 days
of Valid Receipt of Notice then Requisition can call
 the meeting within 3 months from Valid
Receipt of Notice.

Conclusion

Mr A and Mr B are Joint share holders having
5000 shares of XYZ Ltd which is more than 10%
of Total Paid up share Capital i.e. 40000 eq. shares.
They hold 12.5% of Paid share Capital.

and the requisition filed by Mr A and Mr B is Valid as they hold more than prescribed capital and requisition is signed by both of them. The Board shall call the meeting and ~~there~~ their refusal is not Valid.

(b.)

As per Relevant provisions of the Companies Act 2013, The company after declaring dividend it shall be paid within 30 days if it is not paid it shall be transferred to unpaid dividend A/c in 5 days from expiry of 30 days, if dividend is not claimed by the person within 7 years of transferring transfer then it shall be transfer to Investment in Education provident Fund (IEPF), if the person do not engage in rights of shares in 7 years then it shall be transfer to IEPF and he can claim the shares and dividend or any interest there on by filling form IEPF-5.

Conclusion

Manish a shareholder of a company who has not claimed his dividend for the last 10 years can claim his dividend by filling IEPF-5.

Part-1 MCQ

1.) (C)

2.) (D)

3.) (B)

4.) ~~So~~ (C)

5.) (A)

6.) (B)

7.) (A)

8.) 11% (B)